

Question #1 of 43

Question ID: 1472247

A bank in Canada is quoting CAD/USD 1.4950 – 1.5005, and USD/EUR 0.9350 – 0.9400. What is bid/ask exchange rate for CAD/EUR?

- A)** CAD/EUR 1.3978 – 1.4105.
 - B)** CAD/EUR 0.6254 – 0.6264.
 - C)** CAD/EUR 1.5904 – 1.6048.
-

Question #2 of 43

Question ID: 1472275

Under the Mundell-Fleming model and the portfolio balance approach to exchange rate determination, a country following sustained expansionary fiscal policy would see its currency:

- A)** appreciate in the short-run and depreciate in the long-run.
 - B)** appreciate in the short-run and appreciate in the long-run.
 - C)** depreciate in the short-run and depreciate in the long-run.
-

Question #3 of 43

Question ID: 1508650

Today, the spot rate on pounds sterling is \$0.6960 and 90-day forward pounds are priced at \$0.6925. The forward discount/premium is:

- A)** premium of \$0.0035.
 - B)** premium of \$0.0005.
 - C)** discount of \$0.0035.
-

Question #4 of 43

Question ID: 1472255

Which of the following statements regarding relative purchasing power parity is *most* accurate? Relative purchasing power states that exchange rates:

- A)** will change to reflect differences in inflation between countries.
 - B)** will change to reflect differences in nominal interest rates between countries.
 - C)** will change to reflect differences in real interest rates between countries.
-

Question #5 of 43

Question ID: 1472279

Zimbaya is a developed economy with high capital mobility. Deborah Isaccson is evaluating the Zim (Z\$), the national currency of Zimbaya. Which of the following is *most likely* to lead to appreciation of Z\$? If Zimbaya starts following:

- A)** an expansionary fiscal policy.
 - B)** a loose monetary policy.
 - C)** a restrictive fiscal policy.
-

Question #6 of 43

Question ID: 1472256

Which of the following statements regarding purchasing power parity (PPP) is *least* accurate?

- A)** Under absolute PPP the foreign price level expressed in domestic currency terms should be equal to the domestic country's price level.
 - B)** Absolute PPP is similar to the law of one price, except it concerns a basket of goods rather than a single good.
 - C)** Relative PPP states that prices for goods and services are the same whether it is for one good or for a basket of goods.
-

Question #7 of 43

Question ID: 1508652

Ninety days ago, Marc Samuelson entered into a 180-day forward contract to purchase 1 million CHF at an all-in rate of \$1.0225/CHF.

The following USD/CHF quotes are currently available in the market:

Spot	1.0301/1.0302
30 days	-12.3/-11.9
90 days	-16.0/-14.8
180 days	-18.9/-17.8

Interest rates:

90-day CHF	1.02%
180-day CHF	1.03%
90-day USD	1.00%
180-day USD	0.99%

The mark-to-market value of Samuelson's position is *closest* to:

- A) \$7,585.
 - B) \$5,985.
 - C) -\$6,735.
-

Question #8 of 43

Question ID: 1472254

Assume an investor living in Mauritius can borrow in \$ or in Mauritius Rupee (MUR). Given the following information, determine whether an arbitrage opportunity exists. If so, how much would the arbitrageur profit by borrowing MUR 1,000,000 or the equivalent in \$? (Assume a period of one year and state the profit in domestic currency terms.)

Spot rate (MUR/\$)	30.73000
Forward rate (MUR/\$)	31.50000
Domestic (MUR) interest rate (%)	6.50%
Foreign (\$) interest rate (%)	5.20%

Which of the following is *closest* to the correct answer?

- A) Borrow domestic. Arbitrage profits are \$39,685.
- B) Borrow MUR. Arbitrage profits are MUR 13,340.
- C) Borrow \$. Arbitrage profits are \$13,340.

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Question ID: 1472244

Given spot exchange rate of CAD/EUR 1.425-1.435, The spread is *closest* to:

- A) 10 pips EUR
- B) CAD 0.010
- C) CAD 0.0010

Jennifer Nance has recently been hired as an analyst at the Central City Bank in the currency trading department. Nance, who recently graduated with a degree in economics, will be working with other analysts to determine if there are profit opportunities in the foreign exchange market.

Nance has the following data available:

	U.S. Dollar (\$)	U.K. Pound (£)	Euro(€)
Expected inflation rate	6.0%	3.0%	7.0%
One-year nominal interest rate	10.0%	6.0%	9.0%

Market Spot Rates			
	U.S. Dollar (\$)	U.K. Pound (£)	Euro(€)
U.S. Dollar (\$)	\$1.0000	\$1.6000	\$0.8000
U.K. Pound (£)	0.6250	1.0000	2.0000
Euro (€)	1.2500	0.5000	1.0000

Market 1-year Forward Rates			
	U.S. Dollar (\$)	U.K. Pound (£)	Euro(€)
U.S. Dollar (\$)	\$1.0000	\$1.6400	\$0.8082

U.K. Pound (£)	0.6098	1.0000	2.0292
Euro (€)	1.2373	0.4928	1.0000

Nance receives a report from Jamshed Banaji, Chief Economist at Central City Bank providing broad U.K. and U.S. macro-economic forecasts. Nance notes that the Bank of England is expected to pursue an expansionary monetary policy while the Federal Reserve monetary policy is expected to be neutral. Also, the British parliament is expected to reduce the budget deficits more aggressively as compared to the U.S.

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Question ID: 1472262

The no-arbitrage one-year forward USD/EUR rate is *closest* to:

- A) USD/EUR 0.7925.
 - B) USD/EUR 0.8082.
 - C) USD/EUR 0.8073.
-

Question #11 - 13 of 43

Question ID: 1472263

For this question only, assume that the United States has a current account surplus versus the U.K. The amount by which the £/\$ has to change to restore current account balance is *least likely* to depend on:

- A) the initial level of current account surplus.
 - B) the projected current account deficit.
 - C) the response of import and export demand to changes in export prices.
-

Question #12 - 13 of 43

Question ID: 1472264

For an investor pursuing a carry-trade, the funding currency would *most likely* be the:

- A) Pound.
- B) Euro.
- C) U.S. Dollar.

Question #13 - 13 of 43

Question ID: 1472265

Which of the following is *least likely* to be a warning sign for currency crisis?

- A) Real exchange rate substantially lower than mean reverting level.
 - B) Nominal credit relative to bank reserves increase.
 - C) Inflation increases.
-

Question #14 of 43

Question ID: 1472258

If the one-year forward exchange rate is DC/FC 2 and the spot rate is DC/FC 1.9 when the foreign rate of return is 12% and the domestic return is 10%, which of the following statements would be *most* accurate?

- A) Arbitrage is possible here, investors should borrow domestic, lend foreign.
 - B) Arbitrage is possible here, investors should borrow foreign, lend domestic.
 - C) The arbitrage possibilities cannot be determined with the data given.
-

Question #15 of 43

Question ID: 1472259

One-year interest rates are 7.5% in the U.S. and 6.0% in New Zealand. The current spot exchange rate is USD/NZD 0.5500. If uncovered interest rate parity holds, the expected spot rate in one year must be *closest* to:

- A) USD/NZD 0.54233.
 - B) USD/NZD 0.55825.
 - C) USD/NZD 0.56675.
-

Question #16 of 43

Question ID: 1508654

Which of the following is *least likely* the objective of central bank intervention?

- A) have ability to pursue an independent monetary policy.
 - B) prevent appreciation of domestic currency.
 - C) reduce excessive inflow of foreign capital.
-

Question #17 of 43

Question ID: 1472273

Tim Kramer is assessing the risks of the carry trade for his firm. He obtains a distribution of expected returns for the carry trade. This distribution is *most likely* to exhibit:

- A) fat tails and a negative skew.
 - B) a normal distribution.
 - C) fat tails and a positive skew.
-

Question #18 of 43

Question ID: 1472271

The return distribution of FX carry trade is characterized by:

- A) negative skewness and negative excess kurtosis.
 - B) negative skewness and positive excess kurtosis.
 - C) positive skewness and positive excess kurtosis.
-

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Question ID: 1472269

Assume that the domestic nominal rate of return is 4% and the foreign nominal rate of return is 5%. If the current exchange rate is DC/FC 0.400, the forward rate consistent with covered interest rate parity is:

- A) 0.400.
 - B) 0.318.
 - C) 0.396.
-

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Question ID: 1508653

The following information is gathered for three countries:

Country	Comment
A	Current account deficit is very large relative to GDP
B	Imports highly price-elastic goods
C	Exports global commodities

Which country will *most likely* see its current account deficit restored to sustainable level more rapidly under the flows mechanism of balance of payments?

A) Country A.

B) Country B.

C) Country C.

Question #21 of 43

Question ID: 1472268

Terrance Burnhart, a junior analyst at Wertheim Investments Inc., was discussing the concepts of purchasing power parity (PPP) and uncovered interest rate parity (UIRP) with his colleague, Francis Ferngood. During the conversation Burnhart made the following statements:

Statement 1: Absolute PPP is based on a number of unrealistic assumptions that limits its real-world usefulness. These assumptions are: that all goods and services can be transported among countries at no cost; and all countries use the same basket of goods and services to measure their price levels.

Statement 2: UIRP rests on the idea of equal real interest rates across international borders. Real interest rate differentials would result in capital flows to the higher real interest rate country, equalizing the rates over time. Another way to say this is that differences in interest rates are equal to differences in expected changes in exchange rates.

With respect to these statements:

A) only statement 1 is correct.

B) both are correct.

C) only statement 2 is correct.

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Question ID: 1472260

The domestic interest rate is 9% and the foreign interest rate is 7%. If the forward exchange rate is DC/FC 5.00, what spot exchange rate is consistent with covered interest parity?

- A) 4.91.
 - B) 5.09.
 - C) 4.83.
-

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Question ID: 1472272

The carry trade is *most likely* to be profitable when:

- A) uncovered interest rate parity holds.
 - B) the forward rate is biased estimator of future spot rate.
 - C) the Fisher relation is violated.
-

Question #24 of 43

Question ID: 1472270

Given the following information, what is the forward exchange rate implied by interest rate parity?

- U.S. interest rate = 9%.
- North Korea interest rate = 10%.
- Spot rate = 1.65 KPW/\$.

- A) 1.665 KPW/\$.
 - B) 1.635 KPW/\$.
 - C) 0.612 KPW/\$.
-

Under high capital mobility, the Mundell-Fleming model to determine exchange rate focuses on the impact of:

- A) trade balance.
- B) interest rates.
- C) inflation.

Patrick Sheehan is the head of foreign currency desk at GPN Bank NA, a large U.S. Bank holding company. Patrick is concerned about recent spike in volatility of EUR. He obtains current spot and forward quotes from his terminal (given in Exhibit 1). He also collects interest rate information (given in Exhibit 2).

Exhibit 1: Current spot and forward exchange rate quotes

Currency Paid	Spot rates	Forward rates		
		30-day	60-day	90-day
USD/EUR	1.3110–14	+3.18/+3.38	+6.73/+7.18	+10.48/+10.78
CHF/USD	0.9273–77	–4.09/–3.79	–8.45/–7.95	–12.80/–12.05
USD/GBP	1.6242–47	–26.10/–24.6	–50.20/–47.20	–72.20/–68.2

Exhibit 2: Selected interest rates

Interest Rates	USD	EUR	CHF	INR
30 day	0.21%	0.90%	1.12%	6.72%
60 day	0.22%	0.93%	1.15%	6.84%
90 day	0.25%	1.04%	1.25%	6.90%

Sheehan reviews bank's current open forward contracts. One of the contracts calls for purchase of EUR 200 million at an all-in rate of USD 1.3912 and matures in 30 days.

During the market turmoil of late 2008, GPN had lost a lot of money in FX carry trades. Sheehan realizes that GPN has not established any new FX carry trade positions since then and is anxious to establish new positions. One trade that he finds promising is a carry trade in Indian Rupee (INR). Sheehan notes that while the spot rate is 53.88 INR/USD, Melissa Andrews, GPN's Chief Economist expects the Rupee to trade at 54.12 INR/USD in 90 days.

During his conversation with Andrews, Sheehan asks about the driving factor behind depreciation of the Rupee in the recent past. Andrews explains that there are several theories to explain exchange rate movements. Personally, she prefers to focus on the long-term implications of fiscal policy. She feels that the interest rate in India is expected to be higher than in the U.S. She also states that India is following a more expansionary fiscal policy as compared to the U.S. and that policy is expected to continue. Sheehan observes that such deficits have resulted in large external debt relative to GDP for India.

Sheehan observes that over the past decade, capital controls in India have been loosened resulting in free flow of capital. Additionally, due to a relatively more restrictive monetary policy in India relative to the U.S., nominal interest rates have been substantially higher in India as compared to the U.S.

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Question ID: 1586016

The current mark-to-market value of the EUR forward contract is *closest* to:

- A) -USD 15,889,620.
 - B) USD 15,976,000.
 - C) -USD 15,973,205.
-

Question #27 - 29 of 43

Question ID: 1586017

Regarding the valuation of INR, Andrews would *most likely* use:

- A) Monetary approach.
 - B) Portfolio Balance Approach.
 - C) Mundell-Fleming model.
-

Question #28 - 29 of 43

Question ID: 1586018

Based on the Mundell-Fleming model, relative to the USD, the INR would *most likely*:

- A) depreciate.
- B) appreciate.

C) appreciate or depreciate.

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Question ID: 1586019

Under the portfolio balance approach to exchange rate determination, relative to USD, INR would *most likely*:

- A) appreciate in the short-term.
 - B) appreciate in the long-term.
 - C) depreciate in the long-term.
-

Question #30 of 43

Question ID: 1472249

Donna Ackerman, CFA, is an analyst in the currency trading department at State Bank. Ackerman is training a new hire, Fred Bos, a recent college graduate with a BA in economics.

Ackerman and Bos have the following information available to them:

Spot Rates		
	Bid Price	Ask Price
EUR/USD	€1.0000	€1.0015
GBP/USD	£2.0000	£2.0100
EUR/GBP	€0.3985	€0.4000

Ackerman and Bos are interested in pursuing profitable arbitrage opportunities for State Bank. What will be the profits from triangular arbitrage, starting with \$1,000?

- A) \$243.78.
 - B) \$245.65.
 - C) \$248.46.
-

Question #31 of 43

Question ID: 1472276

Country P has high capital mobility and has recently switched from a balanced fiscal policy to an expansionary fiscal policy. Over time this expansionary fiscal policy is expected to lead to an increase in the government debt-to-GDP ratio.

If we simultaneously consider both the Mundell-Fleming and the portfolio balance model, in the short term country P's currency is *most likely* to:

- A) depreciate.
- B) remain stable.
- C) appreciate.

Question #32 of 43

Question ID: 1508651

An investor has entered into a 90-day forward contract to purchase 2 million GBP at an all-in rate of USD 1.4612. In 30 days, the following quotes were available:

	USD/GBP
spot rate	1.4522–24
30-day forward rate	1.4618–21
60-day forward rate	1.4621–25
90-day forward rate	1.4632–36

Interest rate information:

Interest rates	When contract was initiated		Currently (t=30)	
	USD	GBP	USD	GBP
30-day	0.20%	0.32%	0.20%	0.32%
60-day	0.21%	0.32%	0.21%	0.32%
90-day	0.21%	0.33%	0.21%	0.33%

The mark-to-market value of the forward contract is *closest* to:

- A) USD 1999.
- B) USD 1800.
- C) USD 2599.

Question #33 of 43

Question ID: 1472283

Which of the following is *least likely* a warning sign of an impending currency crisis?

- A)** Liberalized capital markets that allow for a free flow of capital.
 - B)** Terms of trade deteriorate.
 - C)** Money supply relative to bank reserves shrinks.
-

Question #34 of 43

Question ID: 1472246

Which of the following statements about foreign currency bid-ask spreads is *least* accurate?

Foreign currency bid-ask spreads:

- A)** are influenced by time window in a trading day.
 - B)** increase as the size of the transaction decreases.
 - C)** are a function of transaction volume and volatility.
-

Question #35 of 43

Question ID: 1472257

Given currency quotes in DC/FC, if: $1 + r_{DC} < (1 + r_{FC}) \times (\text{forward rate} / \text{spot rate})$ funds will:

- A)** flow out of the domestic country.
 - B)** flow into the domestic country.
 - C)** flow in and out of the domestic country.
-

Question #36 of 43

Question ID: 1472248

Given the following quotes for the Canadian dollar (CAD) and the British pound (GBP), the implied CAD/GBP bid-ask quotes are *closest* to:

CAD/USD 1.59031 – 1.59701

GBP/USD 0.69459 – 0.69686

- A) CAD/GBP 2.2895 – 3.2886.
 - B) CAD/GBP 2.2821 – 2.2992.
 - C) CAD/GBP 2.2992 – 2.3163.
-

Question #37 of 43

Question ID: 1508655

Which of the following is *least likely* a warning sign of an impending currency crisis?

- A) Official foreign exchange reserves decline dramatically.
 - B) Currency value is substantially higher than the mean-reverting level.
 - C) Floating exchange rates.
-

Question #38 of 43

Question ID: 1472266

Ackerman explains to Bos that a theoretical relationship exists between forward rates and future spot rates, called the forward rate parity. This relation suggests that:

- A) the forward rate is an unbiased predictor of the expected future spot rate, and uncovered interest rate parity would hold.
 - B) the forward rate is a biased predictor of the expected future spot rate, and uncovered interest rate parity would not hold.
 - C) the forward rate is an unbiased predictor of the expected future spot rate, and uncovered interest rate parity would not hold.
-

Question #39 of 43

Question ID: 1472250

The forward rate on a 90-day contract is FC/USD 5 and the spot is FC/USD 4. The USD is trading at a forward:

- A)** premium of 0.8.
 - B)** discount of 1.0.
 - C)** premium of 1.0.
-

Question #40 of 43

Question ID: 1472267

Professor Imada Suzaken made the following statement to his economics class: "If you can earn 8% on A-rated bonds in the U.S. but only 6% on similar bonds in Canada, Canadian investors may want to buy those bonds in the U.S. for the excess return. However, after collecting the extra dollars, the investors would lose those profits when they converted their gains into their home currency." Suzaken's statement *most accurately* describes:

- A)** covered interest rate parity.
 - B)** uncovered interest-rate parity.
 - C)** purchasing-power parity.
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Question #41 of 43

Question ID: 1472280

Ashok Jain is assessing the currency value of Lutina. Jain believes that prices are sticky in the short term and, hence, do not immediately reflect changes in monetary policy. If Lutina announces a change to a restrictive monetary policy, Jain would *most likely* conclude that Lutina's currency would:

- A)** excessively depreciate in the long-term.
 - B)** excessively appreciate in the long-term.
 - C)** excessively appreciate in the short-term.
-

Question #42 of 43

Question ID: 1472253

Assume an investor living in Japan can borrow in the domestic yen (JPY) or in the foreign U.S. dollar (USD). Given the following information, determine whether an arbitrage opportunity exists. If so, how much would the investor profit by borrowing JPY 58,175,000 or the equivalent in USD? (Assume a period of one year.)

Spot rate (JPY/USD)	116.35
Forward rate (JPY/USD)	112.99
Domestic (Japanese) interest rate (%)	1.50
Foreign (U.S.) interest rate (%)	4.00

- A)** An arbitrage opportunity results in a profit of JPY 292,825.
 - B)** An arbitrage opportunity results in a profit of JPY 27,963.
 - C)** An arbitrage opportunity results in a profit of JPY 25,170.
-

Question #43 of 43

Question ID: 1472277

Country P has high capital mobility and has recently switched from balanced fiscal policy to an expansionary fiscal policy. Over time this expansionary is expected to lead to an increase in government debt to GDP ratio.

If we simultaneously consider both the Mundell-Fleming and the portfolio balance model, in the long run country P's currency is *most likely* to:

- A)** appreciate.
- B)** depreciate.
- C)** remain stable.